

Case 3: Rs199 or Rs299?

Domain: Sales and Marketing | Decision Archetype: Pricing Strategy | Framework: Pricing Models + 4A

Two employees at Orbit Mobile were arguing in the pantry, phones in hand.

"Look at this," said Kabir, holding up a competitor's Rs. 199 unlimited plan. "If we don't match it, we lose every price-sensitive customer in the next 30 days."

"And if we drop to Rs. 199, we lose Rs. 40 crore in annual revenue for nothing," replied Simran. "Half our customers would've paid Rs. 299 anyway. We'd just be leaving money on the table."

Orbit Mobile's pricing team had been debating for two days. A new rival had entered the market with an aggressive Rs. 199 unlimited-data plan — well below Orbit's Rs. 299 plan for similar data. Early numbers showed Orbit losing customers in price-sensitive circles (small towns, students) but holding steady among working professionals.

The team pulled together what they knew: a quick survey of 500 existing customers on what they'd pay, and a breakdown of which customer segments were actually leaving.

The survey showed something interesting — customers weren't just reacting to price. Many said they'd stay even at Rs. 299 if Orbit made the plan easier to recharge from small local shops (many rural users still preferred paying cash at a shop over using the app) and if the network felt more "reliable," not just cheaper.

The team had to decide: cut the price to match the rival, introduce a mid-tier bundle, or hold the price and fix accessibility instead.

Exhibit 1 — Customer Willingness to Pay (Survey of 500 users)

Price Point	% Willing to Stay
Rs. 299 (current)	54%
Rs. 249 (proposed mid-tier)	78%
Rs. 199 (match rival)	91%

Exhibit 2 — Why Customers Are Leaving (Top reasons cited)

- Price too high (61%)
- Recharge process inconvenient — no local shop option (24%)
- Network reliability doubts (15%)

Discussion Questions

1. Should Orbit Mobile match the Rs. 199 price, introduce a mid-tier plan, or hold firm?
2. Is price really the main reason customers are leaving — or is something else going on?
3. What would you recommend if you had to protect both revenue and market share?

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